

INSTITUTIONAL TRADING SYSTEM MANUAL

The Complete Mathematical & Algorithmic Blueprint for Trading XAU/USD (Gold)

EXECUTIVE PRINCIPLE: THE SYSTEM DOES NOT TRADE FAIR VALUE

GoldHunter Pro operates on a fundamental market truth: when price is in equilibrium (Fair Value), buy and sell orders match and no institutional edge exists. The system ONLY generates trading signals at EXTREME HIGHS (where supply overwhelms demand) and EXTREME LOWS (where demand overwhelms supply), exiting trades when price returns to Fair Value.

1. THE FOUR LAWS OF MARKET MECHANICS

A) What causes price to turn?

UNFILLED ORDERS. When price enters a level with massive institutional resting limit orders that exceed market participants on the other side, price cannot penetrate further and reverses violently.

B) Where will price turn to?

AREAS OF SIGNIFICANT SUPPLY & DEMAND IMBALANCE. Price travels directly toward the nearest unmitigated pool of institutional liquidity where pending liquidity remains.

C) Where will price move to next?

AREAS THAT LACK SIGNIFICANT IMBALANCE. Price easily traverses "vacuum" zones where resting orders are thin, seeking liquidity at the next extreme boundary.

D) What facilitates price movement?

ORDERS THAT HAVE ALREADY BEEN FILLED (MITIGATED ZONES). Once a zone has absorbed its resting orders, it offers no friction against future price movement, allowing smooth continuation.

2. MULTI-TIMEFRAME STRUCTURE (4H DOWN TO 5M)

- 4H / 1H (Higher Timeframe - HTF): Establishes institutional macro bias and locates extreme Supply and Demand blocks where commercial banks and hedge funds trade.
- 15M / 5M (Lower Timeframe - LTF): Used exclusively for precision timing, liquidity sweeps, structural confirmation (CHoCH), and entry optimization.

3. IDENTIFYING HIGH-PROBABILITY SUPPLY & DEMAND ZONES

& THE GOLDEN RULE OF DEPARTURE TIME: 5 CANDLES OR LESS

- THE LESS TIME price spends at a certain price level, the MORE out of balance supply and demand is at that level. A rapid departure in 1 to 5 candles confirms institutional aggression with substantial leftover unfilled orders.
- THE MORE TIME price spends at a level (> 5 candles), the LESS out of balance it is. Prolonged consolidation represents two-sided order matching (fair value) and must NEVER be traded as an extreme zone.

ZONE CLASSIFICATION MATRIX

ZONE CRITERIA	DEPARTURE SPEED	IMBALANCE STATE	SYSTEM ACTION
Extreme High (Fresh Supply)	"d 5 Explosive Candles	Massive Unfilled Sells	MONITOR FOR SHORT
Extreme Low (Fresh Demand)	"d 5 Explosive Candles	Massive Unfilled Buys	MONITOR FOR LONG
Mid-Range Consolidation	> 6 Candles (Churn)	Equilibrium / Fair Value	STRICT NO-TRADE
Mitigated / Tested Level	Price already swept level	Orders Absorbed	INVALIDATED

4. LOWER TIMEFRAME EXECUTION PROTOCOL (15M & 5M)

Once price reaches a qualified 4H/1H Extreme Zone, four consecutive confirmations MUST occur before entry:

CRITERION 1: LIQUIDITY SWEEP

Smart money probes past recent retail highs/lows with an extended wick to trigger stop losses and capture buy-side/sell-side liquidity before reversing.

CRITERION 2: CHANGE OF CHARACTER (CHoCH)

The lower timeframe market structure shifts decisively. For a SELL: 5M body closes below the previous swing low. For a BUY: 5M body closes above the previous swing high.

CRITERION 3: THE TRIPLE-CANDLE ENGULFING PATTERN

- BUY SETUP: Exactly 1 powerful Bullish (Green) candle must fully engulf the real bodies of the previous THREE Bearish (Red) candles.
- SELL SETUP: Exactly 1 powerful Bearish (Red) candle must fully engulf the real bodies of the previous THREE Bullish (Green) candles.

CRITERION 4: RETEST CONFIRMATION

DO NOT chase market orders on the close of the engulfing candle. The system waits for a retracement/retest into the newly formed 5M Order Block or 50% equilibrium level.

5. EXIT PROTOCOL: CLOSING AT FAIR VALUE

WHY THE SYSTEM EXITS AT FAIR VALUE (EQUILIBRIUM)

Amateur traders hold greedily hoping for infinite moves. Institutional algorithms exit at Fair Value (the 50% midpoint between the extreme swing highs and lows, or the opposite Fair Value Gap). At Fair Value, supply and demand reach temporary equilibrium — holding beyond this invites dangerous chop, pullbacks, and stop hunts.

6. EXACT ORDER PLACEMENT SPECIFICATIONS

- ENTRY ORDER: Pending Limit Order (Buy Limit / Sell Limit) placed at the 50% retest of the engulfing block.
- STOP LOSS (SELL): Placed 10–15 pips above the extreme wick high that produced the liquidity sweep.
- STOP LOSS (BUY): Placed 10–15 pips below the extreme wick low that produced the liquidity sweep.
- TAKE PROFIT 1: At the first internal Fair Value Gap (FVG) / 38.2% Fibonacci retracement (move SL to Break-Even).
- TAKE PROFIT 2 (FINAL): Exactly at 50% Market Equilibrium (Fair Value). Close all remaining volume.
- MAXIMUM RISK PER TRADE: Never exceed 1.0% to 2.0% of total account equity.

7. PRE-TRADE 6-POINT CHECKLIST

- [] 1. Is price at an Extreme High (Supply) or Extreme Low (Demand)? (Never in the middle)
- [] 2. Did the HTF zone demonstrate an explosive departure in 5 CANDLES OR LESS?
- [] 3. Has lower timeframe (5M/15M) liquidity been swept with a clear rejection wick?
- [] 4. Did 5M print a clean Change of Character (CHoCH) with a full candle body close?
- [] 5. Did a single candle completely engulf the bodies of the previous 3 candles?
- [] 6. Is your pending limit set on the RETEST with TP locked at Fair Value?